

What are they selling?

WHY DO WE pay so much attention to the opinions of others? You've read in the previous chapters how much of that advice is terrible. So why do we give folks on TV or in print credit for knowing the future, or seeing what comes next?

In short, why are we so trusting to people trying to sell us something?

Despite a lot of bad advice, this is a difficult habit to break. We are social animals, part of a tribe, and thus have evolved as a cooperative species. Our adaptability and cooperation may have helped us tame the planet, but that same evolution does not help us make intelligent asset allocation decisions. This is especially true during periods of volatility and stress. As we see later on, our own genetic wetware works against us in modern capital markets.

To remedy that, I want you to be more skeptical of other people's advice, and more independent. It is your money, and you must think for yourself. The goal is to move you toward a healthy skepticism—not to be negative about everything, but simply less naïve than you were before. During the SALT treaty negotiations with the Soviet Union, President Ronald Reagan said “Trust but verify;” you should employ a similar strategy with investing.

I want you to be less of a financial sucker than you have been during most of your life. Full disclosure: I was quite a sucker early in my career. I failed to understand what motivated salespeople (duh). I believed the nonsense I heard on quarterly conference calls! I learned expensive lessons being too trusting of the analysts, brokers, traders, economists, fund managers, strategists, regulators, journalists, and even clients I encountered.

Everyone is selling something.

The challenge is there's so much bad advice out there. Some of it is maliciously motivated, or at least motivated by a salesperson's self-interest; some of it is driven by naïve good intentions; and some of it is just